

Comparing the impact of competitor financial models

Instructions:

Use the table to evaluate the financial impact of installment financing for the provided competitors.

Copy and paste the provided shapes to demonstrate if impact was:

- Extremely Positive
- Positive
- Neutral
- Negative
- Extremely Negative



	Company X		Company Y		Company Z	
	Y0 - Y1 Δ	Y1 - Y2 Δ	Y0 - Y1 Δ	Y1 - Y2 Δ	Y0 - Y1 Δ	Y1 - Y2 Δ
Sales / Revenue	+		+	+	++	+
Operating Costs	+		+	+	--	
Interest Revenue					++	++
Interest Expenses					--	+
Taxes			+	+	-	++
Profit	+		+	+	--	++
Cash flow	+		-	-	-	--
Debt	+		-	-		--

Tip: Your first step should be to define parameters for the various impact levels. For example, change rates $\pm 3\%$ might be considered standard market fluctuations and therefore considered "Neutral" impact.

Follow-up Questions:

1. What are the short-term and long-term effects installment financing could have on our client's **revenues** and **profits**?

In the short term, installment financing will likely boost revenues by making offerings more accessible and increasing customer conversion. However, profits may initially be pressured by setup costs and credit risk management. Over the long term, installment financing can drive strong revenue growth and margin expansion as customer loyalty deepens and operational efficiencies scale—provided that credit risk is effectively controlled.

2. How might **costs** and **available cash** be impacted in the short term and long term if our client implements installment financing?

Initially, costs will rise due to investments in financing infrastructure, while available cash will tighten as upfront payments shift to receivables. Over time, costs should normalize as processes mature, and cash flow is expected to stabilize or improve as repayments become more predictable or financing partnerships are leveraged.